

While the thrust of Dr. Bennis's litany is generally on the mark, I believe that the dichotomy is overdrawn. Woe to the leader who ignores the bottom line, for example. Woe to the manager who fails to inspire trust, or who focuses only on the short range. So let me present a more subtle thesis, one that encompasses, in many instances, both sets of talents.

For the enterprise to achieve its fullest expression, good stewardship, high professional standards, and trust must suffuse an entire organization, from the mail room to the boardroom. The qualities must be built into the character of the enterprise, not grafted onto its exterior. Of necessity, those qualities must begin with leadership—with leaders who do more than count, leaders whose highest priorities include the deeper values of their organizations.

Of course, in order to function with efficiency and excellence, all enterprises also need skilled and dedicated managers at every level of the organization. And they too must be committed to those values. And both leaders and managers must learn to view those who work with them—from the highest to the humblest—not just as pawns on a corporate chessboard but as human beings with the same needs and concerns that all of us have. Without strong and determined leaders to set the firm's character, direction, and strategy, even the best managers will be trying to push water up a hill.

What, then, are the characteristics of good leadership and of good management? On that subject, I have (surprise!) strong opinions, most of them formed in the crucible of my own six decades of business experience, including four decades as a leader—nine years as chief executive of Wellington Management, 22 years as chief of Vanguard, and (if you will) now nine years running Vanguard's admittedly tiny Bogle Financial Markets Research Center, with its crew of three plus me. So here I speak from my own broad, firsthand, and often hard-won experience.

Of course I'm especially proud of the extraordinary accomplishments of our Vanguard crew members, not only when I ran the firm, but up to this very moment. Their intense involvement in, and contribution to, those accomplishments testify to the merit of the wonderful wisdom I culled from a 1972 speech given by Howard